

Bonds of smaller industrial companies are not well qualified for consideration as fixed-value investments. (Chap. 7)

When I began to manage high yield bonds in 1978, most institutional portfolios were governed by rules that limited bond holdings to either “investment grade” (rated triple-B or better) or “A or better.” Rules like these, which put certain securities off-limits to most buyers regardless of price, had the effect of making bargains available to the few of us who weren’t so restricted. At first glance, Graham and Dodd’s proscriptions would seem to be among those rules.

INVESTMENT VERSUS SPECULATION

As I reread the chapters in this edition, I came across several statements like these, to the effect that some bond is or is not appropriate for investment. No mention of price or yield; just yes or no . . . good or bad. To someone whose career in portfolio management has dealt almost exclusively with below-investment-grade assets, this would seem to rule out whole sections of the investment universe. The ideas that potential return can compensate for risk, and that the debt of a financially troubled company can become so cheap that it’s a screaming buy, appear to fight the authors’ principles.

Then I looked again, and it dawned on me that Graham and Dodd were saying one thing and I was reading another—and that a good deal of the gap was a matter of language. Graham and Dodd didn’t mean that something shouldn’t be bought, but rather that it shouldn’t be bought, to use their phrase, “on an investment basis.” That was an important distinction 80 years ago. Today people attach the word “investment” to anything purchased for the purpose of financial gain, as opposed to something bought for use or consumption. People invest today in not just stocks and bonds, but also in jewelry, vacation-home timeshares, collectibles, art, and cryptocurrencies. But 80 years ago,